WAVERLEY GATEWAY GUIDE

Connecting International Capital

LESOTHO

Africa

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Maseru	Capital and main commercial centre; seat of government, the Central Bank of Lesotho and the One Stop Business Facilitation Centre	Government services, financial services, retail, construction
LNDC industrial estates (lowland districts)	Home of the garment and textile industry, which employs more than 30,000 people, with LNDC factory shells and serviced industrial land available to investors	Apparel and textiles, light manufacturing, export processing
Polihali / Mokhotlong (LHWP Phase II)	Polihali Dam, around 50% complete, will raise water transfers to South Africa from 780 to 1,270 million m³ a year, with impoundment planned for the 2027/28 rainy season	Civil engineering, construction services, hydropower, water
Letšeng (Mokhotlong highlands)	Diamond mine, 70% owned by Gem Diamonds, renowned for large, high-value stones; average prices rose 38% to $1,395 per carat in H1 2026	Diamond mining, mining services
Ramarothole, Mafeteng	National solar hub: Phase I delivers 30 MW and Phase II, launched in July 2026, adds 50 MW plus 8 MW of battery storage	Solar generation, battery storage, grid services
Lowlands water and infrastructure corridor	Lowlands Water Development Project Phases II and III, co-financed by the EU and EIB, are extending distribution networks, reservoirs and sanitation	Water utilities, construction, engineering services
Planned Special Economic Zones	SEZ Policy 2024–2029 in place, with finalisation of the SEZ Bill funded in the 2026/27 budget; scope for linkages with South Africa's Maluti-a-Phofung SEZ on the Free State border	Export manufacturing, logistics, agro-processing

INVESTOR ENTRY ROUTES

- Lesotho National Development Corporation (LNDC), the national industrial development agency, provides investment promotion, facilitation and aftercare, including permits, site visits, joint-venture partner matching, factory shells and serviced industrial land
- One Stop Business Facilitation Centre (OBFC), launched in 2016, consolidating business licences, permits and import/export clearance in one place

- Competitive tax regime: 10% corporate income tax on manufacturing and commercial farming (25% standard), withholding-tax exemption on manufacturing dividends, a 125% deduction for training costs and zero-rated VAT on exports
- Investor protections: property rights under the 1993 Constitution, membership of ICSID and the New York Convention, and bilateral investment agreements providing for international arbitration
- Special Economic Zones framework under the SEZ Policy 2024–2029, with the SEZ Bill being finalised to provide a legislated regime for zone-based investment
- Loti pegged at par to the South African rand within the Common Monetary Area, giving price stability and close integration with South Africa's financial system; the Central Bank of Lesotho oversees foreign-exchange matters
- Energy-sector entry through solar, hydropower and mini-grid projects, supported by a M1.7 billion energy allocation in the 2026/27 budget and a new Ministry of Energy and Mining created in April 2026

MARKET-ENTRY OBSERVATION

Lesotho in October 2026 offers macroeconomic stability, sound buffers and a strengthening trade position. Output grew 3.9% year-on-year in the fourth quarter of 2025 and 2.8% in the first quarter of 2026, after growth of 4.2% in 2024/25 driven by construction on the Lesotho Highlands Water Project. Inflation eased from 4.3% in 2025 to 2.6% in September 2026, and the Central Bank of Lesotho raised its policy rate in May and again in September 2026, to 7.0%, as a precaution against higher global energy prices. Public finances recorded a surplus of 3.1% of GDP in 2025, public debt fell to 53.1% of GDP, and net international reserves stood at about $1.2 billion in May 2026, more than $200 million above target. The 2026/27 budget (M30.97 billion, of which M9.03 billion is capital spending) funds a Special Economic Zones Bill, a fiscal stabilisation fund and new solar and hydropower capacity, while the extension of AGOA to December 2028, signed in September 2026, restores long-term duty-free access to the US market.

Lesotho's main structural challenge is a narrow economic base: garment exports of around $300 million a year, split roughly evenly between South Africa and the US, together with SACU receipts and water royalties, account for a large share of activity and public revenue. The economy showed its resilience in 2025–26, when US tariffs and the lapse of AGOA prompted factory retrenchments: the government declared a national state of disaster on unemployment in mid-2025, placing 42,239 young people in work by May 2026, and pursued trade diplomacy that saw AGOA restored in February 2026, temporary US tariffs expire in July and a multi-year extension secured in September. With growth projected by the World Bank at a modest 1.2% in 2026–27, the government is broadening the base through the SEZ Bill, an IFC-supported textile sector strategy, and expanding solar and hydropower. Polihali Dam, due for completion in 2029, will increase water transfers to South Africa by more than 60%, underpinning future royalty income and creating opportunities in construction, energy and services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Garment-sector exposure to US trade policy	The 2025 tariff shock and AGOA lapse led to factory retrenchments; AGOA has now been extended to 31 December 2028, with duty refunds for the interim period	Use the extended AGOA window to secure multi-year orders, while building South African and regional sales, which already take about half of garment exports
Concentration of public revenue	SACU receipts (M10.07 billion) and water royalties (M4.95 billion) provide about half of budgeted 2026/27 revenue and can vary from year to year	A planned fiscal stabilisation fund and rising domestic revenue strengthen resilience, while Polihali will lift water transfers and royalty income from the end of the decade
Unemployment and skills	Broad unemployment stood at 30.1% and youth unemployment at 39% when the state of disaster was declared in 2025	A large, available workforce supports labour-intensive investment; government apprenticeships and a 50% stipend subsidy for firms hosting graduate volunteers help reduce training costs
Electricity supply and imports	Lesotho still relies on imported electricity to meet part of its demand, which affects costs for energy-intensive industry	Ramarothole's expansion to 80 MW with battery storage and the M1.7 billion energy budget open opportunities for independent power producers and captive

Issue	Potential Impact	Possible Mitigation
		solar
Land access and the SEZ legal framework	Leasehold land is largely reserved for citizens and zone incentives are currently administrative rather than legislated	Use LNDC factory shells and serviced land; track the SEZ Bill, which business groups want to provide multi-decade leases for foreign investors
Public financial management and governance	The IMF has highlighted scope to strengthen budget credibility, internal controls and anti-corruption frameworks, and reforms are under way	Conduct standard due diligence and use ICSID and New York Convention protections; pending PFM, tax administration and VAT legislation should further improve predictability
Reduced donor funding	The US terminated the $300 million MCC Compact II in late 2025, and wider donor cuts have affected social programmes	The government has taken over funding and implementation of the compact's projects, while the World Bank, EU, EIB and IFAD remain active co-financiers

INVESTOR RISK NOTE

Lesotho's risk profile is that of a small, stable, rand-linked economy with sound buffers and a narrow but recovering export base. Fiscal surpluses, falling public debt, comfortable reserves and the loti's peg to the rand provide a solid macroeconomic anchor, while the extension of AGOA to the end of 2028 removes the most immediate risk facing the garment industry and restores a multi-year planning horizon for exporters. The main considerations for investors are modest headline growth, the economy's reliance on SACU revenues, water royalties and US apparel demand, high youth unemployment and partial dependence on imported electricity. Each is being addressed: the government is legislating for Special Economic Zones, building a fiscal stabilisation fund, expanding domestic solar and hydropower, and placing tens of thousands of young people in work under its unemployment emergency programme. Investors should monitor AGOA implementation and US trade measures, and benefit from the long-term visibility provided by LHWP Phase II and Lesotho's deep integration with South Africa.

MARKET ACCESS

Lesotho is a member of the Southern African Customs Union (SACU), giving duty-free access to South Africa, Botswana, Namibia and Eswatini, and of the Common Monetary Area, which pegs the loti at par to the rand. It is also a member of the Southern African Development Community (SADC) and of the WTO. AGOA, now extended to 31 December 2028, provides duty-free access to the US for textiles, apparel and other eligible products, and Lesotho was excluded from the US Section 301 tariff round of July 2026. South Africa and the US each take roughly half of garment exports, while water is exported to South Africa's industrial heartland through the Lesotho Highlands Water Project, whose transfers will rise by more than 60% when Polihali is complete. Lesotho's position entirely within South Africa gives exporters direct overland access to South Africa's ports and logistics network.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Samuel Ntsokoane Matekane)	Sets economic policy and leads the national unemployment emergency programme and investment drive	Primary reference point for Lesotho's strategic and reform direction
Lesotho National Development Corporation (LNDC)	National industrial development agency providing promotion, facilitation, aftercare, factory shells and serviced land	Standard first point of contact for market entry and incentive guidance
Central Bank of Lesotho (Governor Emmanuel Maluke Letete)	Monetary authority; manages the loti's peg to the rand and oversees foreign-exchange and banking matters	Relevant for currency, exchange-control and financial-sector matters
Ministry of Finance and Development Planning	Manages the budget, SACU revenue, public debt and the planned fiscal stabilisation fund	Key counterpart for public-investment projects and fiscal incentives

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Trade, Industry and Business Development	Leads AGOA and trade negotiations, the SEZ Bill and industrial policy, and oversees the One Stop Business Facilitation Centre	Essential for export-manufacturing and SEZ-related investment
Lesotho Highlands Development Authority (LHDA)	Implements the Lesotho Highlands Water Project, including Polihali Dam and associated infrastructure	Key counterpart for construction, engineering, hydropower and supply-chain opportunities
Ministry of Energy and Mining	Created in April 2026 to lead energy expansion and the mining sector, including diamonds	Relevant for independent power, mini-grid and mining investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Private Sector Foundation of Lesotho is the principal private-sector advocacy body and is actively shaping the SEZ Bill, while the Lesotho Textile Exporters Association represents the export garment industry. LNDC runs investor facilitation and aftercare, and the One Stop Business Facilitation Centre handles practical registration and licensing. The World Bank has ten active operations worth $453 million, including a Competitiveness and Financial Inclusion Project supporting SMEs, while the IFC is preparing a textile sector strategy and MIGA provides guarantee cover in the financial sector. The EU and EIB co-finance the Lowlands Water Development Project, and Japan and IFAD support smallholder agriculture. Established international operators such as Gem Diamonds at Letšeng are a useful source of practical insight into operating in the highlands.

INVESTOR PROFILE BEST SUITED

Lesotho suits investors seeking a stable, rand-linked base with preferential access to both the South African and US markets: apparel and light-manufacturing investors able to use the 10% manufacturing tax rate, LNDC factory space and AGOA access through 2028; engineering, construction and services firms targeting LHWP Phase II and the Lowlands water programme; renewable-energy developers and independent power producers responding to the government's push for domestic generation; and mining investors drawn to high-value diamond deposits. Agro-processing and logistics investors can position for the forthcoming SEZ regime and Lesotho's deep integration with South Africa's supply chains.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage LNDC and the One Stop Business Facilitation Centre
Open dialogue with LNDC on incentives, factory shells and serviced land, and use the OBFC to streamline registration, licences and permits.

STEP 2: Build export plans around the AGOA extension to 2028
Use the restored multi-year US access to secure buyer commitments, while developing South African and SADC sales to balance market exposure.

STEP 3: Track the Special Economic Zones Bill
Follow the SEZ Bill through Parliament and engage the Ministry of Trade on zone locations, land tenure and incentive terms ahead of enactment.

STEP 4: Position for LHWP Phase II and energy procurement
Engage the LHDA and the Ministry of Energy and Mining on construction, supply and services contracts, and on solar, hydropower and mini-grid opportunities.

STEP 5: Structure for currency and trade-policy resilience
Take advantage of the loti's peg to the rand for South African trade, and build scenarios for US trade-policy changes into export-sector planning.